Samvardhana Motherson International Ltd

Concall Tracker · Q2 2027 · first report (Q2 FY27 transcript not yet filed)

1. Snapshot

One of the world's biggest car-parts groups. Makes wiring harnesses, rear-view mirrors and camera systems, bumpers, dashboards and other plastic modules for car and truck makers across Europe, the US, China and India, and is building up aerospace parts and phone assembly for a big consumer-electronics brand. Grows by buying struggling plants and fixing them.

Number	Value	What it means
Market cap	Rs 1,80,749 cr	What the market values the whole group at.
Q2 FY27 revenue (consolidated)	Rs 38,280 cr	Sales for July-September 2026, a record and up 27%, helped by acquisitions.
Q2 FY27 EBITDA	Rs 3,353 cr	Operating profit, up 23%; margin around 9%, slightly lower as copper costs rose and new buys were folded in.
Q2 FY27 normalised profit	Rs 1,175 cr	Group share of profit after one-offs, up 37%.
Booked business	USD 106 bn	Lifetime value of car-parts programmes already won, an all-time high.
Net debt to EBITDA	0.8x	Borrowings less cash under one year of operating profit, the lowest it has been.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	Aug 2025	Yes (key passages)
Q2 FY26	13 Nov 2025	Yes (key passages)
Q3 FY26	10 Feb 2026	Yes (key passages)
Q4 FY26	20 May 2026	Yes (key passages)
Q1 FY27	6 Aug 2026	Yes, read in full
Q2 FY27	5 Nov 2026	Not yet: call held, transcript not filed; results presentation read instead

Five calls read plus the Q2 FY27 results presentation of 5 Nov 2026. Older calls back to 2022 are on Screener and set the Vision 2030 backstory.

Latest results and call: Q2 FY27 presentation (5 Nov 2026) and Q1 FY27 call (6 Aug 2026)

- Q2 FY27: record revenue Rs 38,280 cr, up 27%; EBITDA up 23%; normalised profit up 37%. Strong wiring harness, commercial vehicle recovery in North America, India and Europe, while global car output fell.
- Copper is up about 44% on a year ago. Costs pass to customers with a one-to-two quarter lag, so margins are squeezed for now.
- Booked business at a record USD 106 bn. Net debt 0.8x EBITDA despite Rs 1,971 cr capex in the quarter.
- Nexans Autoelectric (wiring harnesses) and Yutaka Giken (Honda supplier) were completed in July and add close to USD 2 bn of yearly sales, at lower margins for now. A new connector buy adds military-grade parts to aerospace.
- Consumer electronics: a third phone-assembly facility worth about Rs 6,500 cr over three years, 40 million units a year at full scale. Aerospace revenue up over 20% with the order book up 17% since March.
- About a dozen greenfield plants, most due to start in the second half of FY27.

Business mix & capacity

Domestic vs export: Global group: Europe is the biggest region, followed by the Americas and Asia; India is a growing slice. Non-auto (aerospace, electronics) is still small but the fastest-growing part.

Capacity use: No single utilisation figure. About a dozen greenfield plants under construction, mostly due in H2 FY27; one plant opened and five expansions announced in Q2 FY27.

3. Earning Trigger thesis

Motherson's driver is its Vision 2030 plan: keep winning car-parts programmes, buy and fix plants other suppliers give up, and add non-auto lines like aerospace and phone assembly. The record booked business and a run of completed buys are already lifting sales. Returns on capital are the weak spot: still well below the 40% target.

Trigger	What management said	Evidence so far	Time horizon	Strength
Acquisitions	Buy and transform, every one to 40% ROCE over time	Nexans, Yutaka, Autocruis added; sales up 27%	Ongoing	Strong on sales, unproven on returns
Greenfields	12 plants, most on stream in H2 FY27	One opened in Q2 FY27, more due	H2 FY27-FY28	Moderate
Consumer electronics	Run rate of 14-16 million units by FY26 end	Hit the run rate in Q4 FY26; third plant planned	FY27-FY29	Moderate
Aerospace	Steady order book growth	Revenue up 20%+, order book up 17%	Ongoing	Moderate

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	Yes	Leverage ratio at an all-time low of 0.8x despite heavy capex (6 Aug 2026)
New business	Yes	Consumer electronics and aerospace scaling; third electronics facility planned (6 Aug 2026)
Margin up	No	Margin slightly down on copper costs and new buys
New management	No	
New capacity	Yes	About 12 greenfields, majority on stream in H2 FY27 (10 Feb 2026)
Big orders	Yes	Booked business at an all-time high of USD 106 bn (5 Nov 2026)
Turnaround	No	
Promoter buying	No	

The single concrete driver: A record book of car-parts programmes plus freshly bought harness and Honda-supplier businesses, with a dozen new plants starting in the second half.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	Capex of about Rs 6,000 cr a year, plus or minus 10%	Held each year	Delivered
Nov 2025	Leverage near 0.9x by March	0.8x, lower than promised	Delivered
Feb 2026	Most greenfields on stream by H2 FY27	First ones opening; too early to judge	Too-early
May 2026	Yutaka and Nexans close by H1 FY27	Both completed July 2026	Delivered
2022-2026	40% ROCE across the group	ROCE about 14% at last disclosure	Missed

Narrative drift: The Vision 2030 story has stayed the same for years and the near-term promises on capex, debt and deals are kept. Tariff and copper pressures are handled as pass-through with a lag. The 40% ROCE goal keeps getting restated while actual returns stay far below it.

5. Bottom line

Durable earning trigger? → YES

Acquisitions and record booked business are already showing in sales, with new plants and electronics still to come. Returns are the weak link.

Management consistent? → YES

On what it controls in the near term (capex, debt, deal closings) management delivers. The long-dated ROCE target is the exception.

6. Checkpoints for next quarter

- Copper cost gets passed through and margin recovers
- Greenfield plants start contributing in the second half
- Net debt stays near current lows as Nexans and Yutaka are integrated

This is not investment advice. Do your own due diligence.